are no permanent injuries. The Defendant offered settlement in the amount of $25,000, of which $14,609.50 is to be paid to Petitioner behalf of Minor to be placed into a blocked account. The deduction of $ 10,390.50 represents a negotiated deduction from the settlement, is used to satisfy any liens for medical expenses and to pay for attorney's fees and costs incurred. Petitioner prepared a proposed order to deposit funds into a blocked account for the benefit of the Minor.

Ruling

After careful examination of the Petition and proposed orders, the Court finds good cause to approve the Petition. Accordingly, the Petition is granted. The Court will execute the Proposed Order Approving Compromise of Minor's Claim and the Proposed Order to Deposit Funds into a Blocked Account lodged on September 19, 2025. The attorney is required to appear (by zoom is acceptable). Appearance of the minor is waived for good cause. Appearance of the Guardian ad Litem is required (by zoom is acceptable), in order to assure that she understands that (1) if subsequent events show that the injuries have not fully healed, she cannot reopen the case; and (2) that the funds are not available for the ordinary support of the minor, but must be maintained to be paid to the minor when she turns 18, unless the court orders otherwise.

14. 9:00 AM CASE NUMBER: C25-02898
CASE NAME: KERRY MCLANE VS. MERCEDES-BENZ USA, LLC, A DELAWARE LIMITED LIABILITY COMPANY
***MOTION/PETITION TO COMPEL ARBITRATION**
FILED BY: MERCEDES-BENZ USA, LLC, A DELAWARE LIMITED LIABILITY COMPANY
****TENTATIVE RULING:****

Defendant, Mercedes-Benz USA, LLC ("defendant" or "Mercedes"), moves the Court under both the California Arbitration Act and the Federal Arbitration Act to compel plaintiff to arbitrate the claims set forth in plaintiff's complaint, and to stay this action pending the outcome of arbitration.

The motion is **granted**. Parties shall submit the matter to arbitration. This proceeding is hereby stayed. **The Court sets a case management conference on September 8, 2026, at 8:30 a.m.** for a status update on arbitration.

Background

Plaintiff Kerry Mclane brought suit on October 7, 2025, alleging that on December 31, 2024, she leased a 2025 Mercedes-Benz GLC-Class and the vehicle was defective. (See Complaint, ¶8.) The complaint asserts two causes of action under the Song-Beverly Act, one for breach of the implied warranty of merchantability and one for breach of the express warranty.

In response to the complaint, defendant filed this motion to compel arbitration based on provisions found in the Motor Vehicle Lease Agreement plaintiff signed with Mercedes Benz of Walnut Creek, the dealer from which plaintiff leased the vehicle. In support of its motion, defendant provides a declaration from counsel that attaches plaintiff's complaint as well as a signed copy of the lease agreement. (Although counsel's declaration incorrectly describes the lease, the Court has overlooked the apparent typographical error based on the same document being attached to opposing counsel's declaration in support of the opposition).

The arbitration agreement contained in the lease agreement states, under "Important

Arbitration Disclosures:"

> Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents , successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a "Third-Party Beneficiary"), which arises out of […] this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third-Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action.
>
> […]
>
> This lease evidences a transaction involving interstate commerce. Any arbitration under this lease shall be governed by the Federal Arbitration Act (9 USC 1, *et seq*.). Judgment upon the award rendered may be entered in any court having jurisdiction.

Defendant further contends that any question regarding enforceability of the arbitration clause should be left to the arbitrator.

Plaintiff opposes the motion, arguing defendant fails to show an agreement to arbitrate because Mercedes is not a third party beneficiary to the lease. Plaintiff also challenges the arbitration provisions as unconscionable. In support of the opposition, plaintiff provides no evidence aside from the lease agreement itself.

Standard

"Under both federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate." (*Herzog v. Superior Court* (2024) 101 Cal.App.5th 1280, 1293-1294; see also *Toal v. Tardif* (2009) 178 Cal.App.4th 1208, 1219-1220.) California law determines the answer to this threshold question. (*Ibid*.) Mutual assent, or consent, of the parties is essential to the existence of a contract, and consent is not mutual, unless the parties all agree upon the same thing in the same sense. (*Ibid*., see also Civ. Code, §§ 1550, 1580, 1565.) "'Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties, i.e., the reasonable meaning of their words and acts, and not their unexpressed intentions or understandings. (*Ibid*.; see also *Esparza v. Sand & Sea, Inc.* (2016) 2 Cal.App.5th 781, 788.) The party seeking arbitration bears the burden of proving the existence of an arbitration agreement. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC,* (2012) 55 Cal.4th 223, 236.)

A written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract. (Code Civ. Proc., § 1281.)

Analysis

A. Existence of Agreement to Arbitrate

Defendant, which bears the burden on the question of an agreement, provides a written agreement purportedly signed by plaintiff with its moving papers. (Declaration of Elizabeth C. Tingen in Support of Motion, Ex. 1.) The agreement is between plaintiff on the one hand, and "Mercedes Benz of Walnut Creek," on the other. Still, the terms of the arbitration clause itself name defendant as a third party beneficiary. While defendant bears the burden of establishing that a written agreement to arbitrate exists, it has met that burden here. Plaintiff does not dispute the authenticity of the agreement and, in fact, submits the same agreement in support her opposition. Accordingly the Court finds there is an agreement to arbitrate.

B. Mercedes as Third Party Beneficiary

A nonsignatory may compel arbitration, or be bound to an agreement to arbitrate, where it is a third-party beneficiary of the agreement. (*Suh v. Superior Court* (2010) 181 Cal.App.4th 1504, 1513.) "A third-party beneficiary is someone who may enforce a contract because the contract is made expressly for his benefit." (*Jensen v. U-Haul Co. of California* (2017) 18 Cal. App. 5th 295, 301.) Despite plaintiff's arguments in the opposition papers, she signed an agreement which specifically defines defendant as a "Third-Party Beneficiary" of the lease. The agreement further specifically indicates the intent for third-party beneficiaries to be able to compel arbitration.

Accordingly, any argument that Mercedes is not a third party beneficiary lacks merit.

Plaintiff cites the recent *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122 to support her contention that Mercedes cannot compel arbitration as a third-party beneficiary. However, in that case, the sales agreement did not expressly require disputes with the manufacturer to be arbitrated. The court noted that, "Ford, the manufacturer, was not a party to, *or named in*, the sales contracts." (*Ford Motor Warranty Cases*, *supra*, 17 Cal.5th at 1126, emphasis added, [internal citations omitted].) Here, the arbitration agreement does expressly name Mercedes Benz USA, LLC. This remedies any broad inclusion of a "universe of unnamed third parties," by naming Mercedes specifically. (*Id*. at 1130.)

Because the Court concludes defendant meets its burden to show an arbitration agreement exists, that the scope of the agreement covers "any claim or dispute […] between [plaintiff] and […] Mercedes-Benz USA LLC," and because plaintiff fails to rebut this showing, the Court proceeds to examine the enforceability of the arbitration clause.

C. Unconscionability

Defendant argues the enforceability determination lies with the arbitrator (Memorandum of Points and Authorities in Support of Motion, 10:1-18), but it cites no delegation clause that would alter the default rule (which requires a court to engage in such analysis), let alone a "clear and unmistakable" delegation clause. (See, e.g., *Chin v. Advanced Fresh Concepts Franchise Corp.* (2011) 194 Cal.App.4th 704, 709 [court decides the scope and validity of an arbitration agreement, including whether it is unconscionable, except where parties "clearly and unmistakably" delegate issues of arbitrability to the arbitrator].)

Accordingly, we turn to plaintiff's unconscionability arguments.

To briefly recapitulate the principles of unconscionability, the doctrine has both a procedural and a substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results. (*Armendariz v. Foundation Health Psychcare Services, Inc*. (2000) 24 Cal.4th 83, 114.) Procedural and substantive unconscionability "'must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.' [Citation.] But they need not be present in the same degree. …

[T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Ibid*.)

1. Procedural Unconscionability

The procedural element of an unconscionable contract generally takes the form of a contract of adhesion, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it. (*Little v. Auto Stiegler, Inc*. (2003) 29 Cal.4th 1064, 1071, citing *Armendariz, supra*, 24 Cal.4th at 113-14.)

Plaintiff argues the arbitration agreement was procedurally unconscionable because it is a contract of adhesion, and because including claims against the manufacturer in the arbitration clause constitutes surprise. (Opposition, 5:1-18.) Plaintiff does not provide any evidence to support this argument such as a declaration that she read the agreement, but did not notice the reference to the manufacturer, or that she was allowed little time to read the agreement, or other circumstances that might contribute to procedural unconscionability.

Even assuming plaintiff could establish some degree of procedural unconscionability (which is common in adhesion contracts in any event), a procedurally unconscionable arbitration clause may still be legally enforceable. The Court accordingly looks to whether plaintiff has established substantive unconscionability.

2. Substantive Unconscionability

Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create overly harsh or one-sided results. (*Armendariz, supra*, 24 Cal.4th at 114.) A contract term is not substantively unconscionable when it merely gives one side a greater benefit. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 246, internal quotations omitted.) "Not all one-sided contract provisions are unconscionable; hence the various intensifiers in our formulations: '*overly* harsh,' '*unduly* oppressive,' '*unreasonably* favorable.'" (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 911, citing *Pinnacle, supra*, 55 Cal.4th at 246, emphasis in original.) To be substantively unconscionable, the agreement must be something more than a mere "bad bargain." (*Sanchez, supra,* 61 Cal.4th at 911.)

Plaintiff's arguments with respect to substantive unconscionability are lacking. She essentially argues that, based on defendant's status as a non-signatory, its invocation of the right to arbitration would be unfair. This, at most, qualifies as a minimally bad bargain for plaintiff and does not rise to the level required to invalidate the contractual provisions.

Accordingly, the motion must be **granted**.

15. 9:00 AM CASE NUMBER: C26-00300
CASE NAME: ELVICIO MACHADO VS. HHH PROPERTY GROUP, LLC
HEARING IN RE: ORDER TO SHOW CASUE RE: PRELIMINARY INJUNCTION
FILED BY: MACHADO, ELVICIO
TENTATIVE RULING:*

Plaintiff Elvicio Machado has filed a complaint alleging wrongful eviction against HHH Property Group and others. Plaintiff also filed an Ex Parte Application for a Temporary Restraining Order to Enjoin the